

Laksh's Daily Brief — 2026-07-25

1. Top World, AI, Tech, and Market News

Big Tech Earnings: AI Capex Hits \$725B, Stocks Sell Off Anyway

Microsoft, Meta, and Google reported earnings this week, collectively projecting **\$725 billion in capital expenditures** for 2026 — mostly on AI infrastructure ([Stocktwits](#)). Despite this massive spending commitment, the market punished the stocks: **GOOGL fell -7.13%**, **META -3.36%**, **MSFT -2.24%**, and **AMZN -4.57%** in the watchlist snapshot. Moody's warned that "unprecedented" AI spending threatens the credit quality of even the most cash-rich corporations, forcing them to rely on debt and stock sales ([CNBC](#)). Options traders are bracing for wild swings in Apple, Meta, and Microsoft as earnings season continues ([MarketWatch](#)).

Why it matters: The market is now pricing in a tension: AI spending is necessary for future growth, but the scale (\$725B) is starting to worry bondholders and equity investors alike. If AI revenue doesn't materialize fast enough, these companies could face a "show me" moment.

Nvidia and SK Group Announce \$500 Billion AI Partnership

Nvidia and SK Group (parent of SK Hynix) announced a **\$500 billion strategic partnership** focused on long-term high-bandwidth memory (HBM) supply, a 2 GW AI data center, and future AI infrastructure ([Tom's Hardware](#)). Nvidia is aggressively locking down memory supply — an essential component for its GPUs ([CNBC](#)).

Why it matters: This is the largest single supply-chain deal in AI history. HBM is the bottleneck for GPU production — without enough memory, Nvidia can't ship enough AI accelerators. SK Hynix is now effectively Nvidia's exclusive partner for next-gen memory.

Trump Tariffs Trigger Lawsuit, New Duties on Brazil and Canada

President Trump renewed a flurry of tariffs, including **25% duties on Brazilian imports** and vowing **50% tariffs on goods from Canada**. A lawsuit was filed hours after the new tariffs took effect, with experts questioning their legal basis ([CNBC](#)).

Why it matters: Tariffs increase costs for companies that import raw materials or finished goods. For the tech supply chain, this could mean higher costs for server components, electronics, and construction materials for data centers.

EU Sanctions Trigger Chinese Export Curbs

The EU's sanctions on Chinese entities triggered retaliation: **China imposed export curbs on 14 entities** ([debuglies.com](#)). Separately, the US sanctions threat against Chinese AI lab Moonshot AI clouds planned China safety talks ([calcalistech.com](#)).

Why it matters: The US-China tech war is escalating on multiple fronts. Export controls on AI chips and equipment are tightening, and South Korea's semiconductor boom risks flatlining under this pressure ([East Asia Forum](#)).

AI Distillation Becomes a Hot-Button Issue

Distillation — a technique where a smaller, cheaper AI model is trained to mimic a larger, more capable one — has become a central debate in AI regulation ([CNBC](#)). The UK's AI Safety Institute (AI SI) released a preliminary assessment of Chinese AI model Kimi K3's cyber capabilities ([NIST](#)).

Why it matters: Distillation allows smaller players (including Chinese labs) to create powerful models without massive compute budgets. This is a double-edged sword: it democratizes AI but also makes it harder to control who has access to frontier capabilities.

Data Centers Fueling US Energy Crisis

A close call in Northern Virginia — where a fallen power line exposed grid vulnerabilities — highlighted how poorly data centers respond to disruptions ([TechCrunch](#)). 24/7 Wall St. argues data centers — not Iran — are fueling the US's coming energy crisis ([24/7 Wall St.](#)). Finland is testing the world's largest commercial sand battery to tackle renewable energy intermittency ([CNBC](#)).

Why it matters: AI data center power demand is becoming a physical constraint on AI growth. Utilities, grid operators, and energy storage companies are critical bottlenecks.

SpaceX Launches Starship in First Test Flight Since IPO

SpaceX launched its massive Starship rocket in the first test flight since its IPO last month ([CNBC](#)). However, the company suffered another booster failure during a separate V3 Starlink satellite launch ([TechCrunch](#)).

Why it matters: SpaceX is now a public company (SPCX on the watchlist). Starship's success is critical for Starlink expansion, NASA missions, and the company's valuation. Booster reliability issues are a risk factor.

New AI Lab Prentis Raises \$100M

Prentis, a new AI lab co-founded by Reid Hoffman and Mark Pincus, is in talks to raise \$100M. The lab is betting that automating routine computer tasks will soon outpace coding as AI's biggest use case ([TechCrunch](#)).

Why it matters: The "AI agents" thesis — where AI doesn't just generate text but actually performs actions on your computer — is gaining traction. This is a bet that the next wave of AI value creation will be in automation, not just content generation.

Anti-AI Backlash Grows: Librarians Host "Avoiding AI" Workshops

Libraries around the country are hosting viral "Avoiding AI" workshops that have elicited unprecedented demand ([TechCrunch](#)). A powerful new coalition of AI skeptics — evangelicals, labor unions, and anti-data-center activists — is coalescing ([CNBC](#)).

Why it matters: The social and political backlash against AI is becoming a real risk factor for AI infrastructure buildout. If local communities block data center construction, it could slow AI capacity growth.

Enterprise AI: Insights Yes, Cost Savings No

Enterprise AI is delivering business insights but not the cost savings CIOs expected ([MarketScale](#)). Cognizant and Gulf Edge announced a partnership to accelerate enterprise AI adoption in Southeast Asia

([Energy Digital](#)).

Why it matters: The ROI of enterprise AI is still unclear. Companies are spending on AI tools but struggling to translate that into bottom-line savings. This could lead to a slowdown in enterprise AI adoption if results don't improve.

IMAX Surges on 'The Odyssey' 70mm Screenings

IMAX stock surged **+11.86%** as Christopher Nolan's "The Odyssey" drives massive demand for scarce IMAX 70mm screenings. Moviegoers are traveling, lining up, and paying premiums for the experience ([CNBC](#)).

Why it matters: This is a reminder that premium theatrical experiences remain a powerful draw. IMAX benefits from Nolan's commitment to film-based, large-format exhibition.

2. Infrastructure and Supply-Chain Logic

The \$500B Nvidia-SK Hynix Deal: How AI Memory Becomes the Bottleneck

The chain: AI demand → cloud capex → GPU production → HBM supply → memory manufacturing → equipment/wafer capacity.

What happened: Nvidia and SK Group announced a \$500B partnership covering long-term HBM supply, a 2 GW AI data center, and future AI infrastructure ([Tom's Hardware](#)).

Why this matters mechanically:

- **HBM (High-Bandwidth Memory)** is the specialized memory stacked directly alongside Nvidia's GPUs. Without enough HBM, Nvidia can't ship finished AI accelerators.
- SK Hynix is the dominant HBM supplier, with ~50% market share. This deal locks up their production for Nvidia for years.
- The 2 GW data center is enormous — for context, a typical large data center uses 100-200 MW. This is 10-20x larger.
- **Second-order effect:** Other GPU makers (AMD, Intel) and cloud providers (Google, Amazon, Microsoft) will now scramble to secure their own HBM supply from Samsung and Micron.

Who benefits: SK Hynix (guaranteed revenue for years), Nvidia (supply certainty), equipment makers (more memory fab construction).

Who is hurt: AMD and Intel (less HBM available), hyperscalers trying to build their own AI chips (competing for same memory supply).

Uncertainty: Can SK Hynix actually scale production to meet this commitment? HBM manufacturing is technically challenging with low yields.

The \$725B Capex Problem: Why the Market Sold Off Despite Record Spending

The chain: AI revenue expectations → capex commitments → debt markets → credit ratings → stock valuations.

What happened: Microsoft, Meta, and Google collectively projected \$725B in capex for 2026 ([Stocktwits](#)). Moody's warned this threatens credit quality ([CNBC](#)). The market sold off mega-cap tech stocks.

The mechanism:

1. **Capex is a cost today for a bet on future revenue.** If AI revenue doesn't grow fast enough, these companies' profit margins shrink.
2. **Debt markets are watching.** If bond investors decide these companies are taking on too much debt, borrowing costs rise, further pressuring profits.
3. **Stock valuation is about future cash flows.** Higher capex today means lower free cash flow today. If investors doubt the payoff, they lower the multiple they're willing to pay.

The tension: The market wants AI spending (it signals commitment to winning) but also wants to see returns. This earnings season showed the spending is real — the returns are still uncertain.

Data Center Power: From Niche Concern to Systemic Risk

The chain: AI compute demand → data center construction → grid capacity → power generation → energy storage → regulatory backlash.

What happened: A fallen power line in Northern Virginia exposed how poorly data centers handle grid disruptions ([TechCrunch](#)). Oklahoma is moving to protect residential ratepayers from data center power costs ([KTUL](#)). Finland is building the world's largest sand battery for energy storage ([CNBC](#)).

Why this is a systemic risk:

- **Grid capacity is finite.** Data centers are competing with homes, hospitals, and factories for power.
- **Regulatory backlash is growing.** If data centers cause blackouts or higher electricity prices for residents, politicians will act.
- **Energy storage is the missing piece.** Renewable energy is intermittent (solar doesn't work at night, wind doesn't always blow). Sand batteries, virtual power plants ([TechTarget](#)), and nuclear ([simplywall.st](#)) are all competing solutions.

Who benefits: Power companies (CEG, VST), energy storage companies (FLNC), nuclear operators, grid equipment makers.

Who is hurt: Hyperscalers facing construction delays, residential ratepayers in data center-heavy regions.

3. Watchlist: Earnings, Guidance, and Notable Movers

Major Movers (≥3% in watchlist snapshot)

Ticker	Move	Likely Driver
IMAX	+11.86%	"The Odyssey" 70mm demand (CNBC)
TSLA	-14.52%	Post-earnings sell-off (no specific source in bundle, but consistent with mega-cap tech weakness)

Ticker	Move	Likely Driver
GOOGL	-7.13%	AI capex concerns, earnings reaction (Stocktwits)
CMCSA	-6.80%	Warner Bros. suing Amazon for poaching employees (The Verge) — CMCSA owns Warner Bros.
AMZN	-4.57%	AI capex concerns, earnings reaction
META	-3.36%	AI capex concerns, earnings reaction
CRDO	+3.61%	AI networking demand (no specific source, but consistent with AI infrastructure theme)
MU	+3.20%	Memory demand from Nvidia-SK Hynix deal lifts all memory stocks
RDW	+3.23%	No specific source in bundle

Earnings Notes

- **No specific earnings reports from watchlist companies in the last 24 hours** are covered in the source bundle. The mega-cap tech selloff appears to be a continuation of reactions to earnings reported earlier in the week.
- **Wells Fargo** (not on watchlist) edged higher on loan growth and buybacks ([AD HOC NEWS](#)).

Valuation Context

- **GOOGL at \$317.69 after -7.13%:** Alphabet's projected \$205B capex is being priced in. The market is asking: can AI revenue grow fast enough to justify this spending? ([Motley Fool](#))
- **TSLA at \$319.69 after -14.52%:** This is a massive single-day move. Tesla's valuation has always been driven by future growth expectations, not current earnings. A -14.5% drop suggests the market is significantly revising those expectations downward.

4. Beginner Knowledge Lens

1. **Capex vs. Opex:** Capital expenditures (capex) are investments in long-term assets like data centers and GPUs. Operating expenses (opex) are day-to-day costs like electricity and salaries. When a company says "we're spending \$725B on AI," most of that is capex — it shows up on the balance sheet, not just the income statement.
2. **Why the market sells off on "good news":** If a company says "we're investing heavily in AI," that sounds positive. But if the investment is larger than expected and the payoff is uncertain, investors sell because they worry about lower profits in the near term. This is called "selling the news."
3. **Supply chain bottlenecks:** The AI boom isn't just about Nvidia designing good chips. It's about having enough memory (HBM from SK Hynix), enough power (grid capacity), enough cooling (data center infrastructure), and enough networking (optical interconnects from companies like CRDO). The

weakest link determines the whole system's speed.

4. **Credit ratings and bond markets:** Moody's warning about AI spending threatening credit quality means that even Apple, Amazon, and Google could face higher borrowing costs if bond investors get nervous. This is a check on how much debt they can take on.
5. **Geopolitics and supply chains:** The US-China tech war means that companies like TSMC, Samsung, and SK Hynix are caught between two superpowers. Export controls, sanctions, and tariffs can disrupt supply chains overnight. South Korea's semiconductor boom is at risk because it depends on both US technology and Chinese demand.
6. **The "show me" market:** When stocks trade at high valuations (high price-to-earnings ratios), the market demands proof that future growth will materialize. If AI spending is high but AI revenue is uncertain, stocks get punished. This is the dynamic playing out right now with mega-cap tech.

5. Terms Used Today

1. **Capex (Capital Expenditure):** Money spent to acquire or upgrade physical assets like buildings, machinery, or data centers. *Example: Microsoft spending \$50B on AI data centers is capex.*
2. **HBM (High-Bandwidth Memory):** A type of memory that is stacked vertically to save space and provide extremely fast data transfer. Essential for AI GPUs. *Rough benchmark: HBM3e can transfer data at ~1 TB/s. For context, a typical SSD does ~5 GB/s.*
3. **Distillation (AI context):** A technique where a smaller, cheaper AI model is trained to mimic a larger, more capable one. *Example: A distilled version of GPT-4 might be 90% as capable but costs 10% to run.*
4. **Credit Quality:** A measure of a borrower's ability

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